

Bet on Space, Reap on Earth

India is on the cusp of becoming a \$5-trillion economy. The space sector will prove crucial in this endeavour

IN THE not-too-distant past, the prospect of private space companies might have seemed like stuff of dreams. However, we find ourselves at a transformative juncture in the space industry. The vast expanse of space has become a competitive arena, attracting a plethora of private ventures, both large and small, eager to explore its unfolding possibilities.

As Arthur C. Clarke once observed, history often proves bold predictions, whether short- or long-term, to be comically conservative. Throughout history, dreamers have catalysed transformative shifts in areas influencing human existence. The ebb and flow of human imagination, coupled with courageous leaps of faith, have consistently elevated standards and facilitated remarkable achievements. The realm of space is no exception—mysterious, expansive, and rich with potential.

By 2027, India is poised to become a \$5-trillion economy, securing its position as the world's third-largest based on market exchange rates. The government's blueprint for this economic ascent revolves around key pillars, including inclusive growth, digital economy promotion, fintech integration, technology-enabled development, energy transition, climate action, and a virtuous cycle of investment and growth. Space technology is set to play a pivotal role in this



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INDIA AIMS TO GROW ITS SHARE IN THE GLOBAL SPACE INDUSTRY FROM 2% TO 10% BY 2040; THE SECTOR IS PROJECTED TO GROW TO \$1 TRILLION

ascent, leveraging India's massive population of 1.4 billion, the world's youngest on average at 28 years.

According to Reserve Bank of India Deputy Governor Michael D. Patra, the financial landscape of India presents exciting prospects for harnessing growth potential. The digital revolution, payments and settlement system transformations, and innovations in financial inclusion are key drivers of this change. Simultaneously, India's exponential expansion of space technology utilisation is reshaping every facet of life.

The driving forces behind India's space economy include favourable sectoral policies, effective governance, economic resurgence post-Covid, a pool of young talent, commitment from private space entities, the government's vision, a vibrant start-up ecosystem, and accessibility to investments.

The global space industry, projected to reach \$1 trillion by 2040, is one of the fastest-growing sectors. India aims for a substantial \$100-billion share, increasing its current 2% to 10%. A July 2023 report by consultancy Arthur D. Little suggests key strategies for India's success, including promoting satellite internet services, leveraging strengths in satellite manufacturing, and exploring lucrative areas like space mining, tourism, and entertainment. The report emphasises 'green space,' highlighting sustainable fuel and eco-friendly technologies.

Currently, India's domestic space market is ₹6,400 crore (\$8.1 billion),